

PURCHASE REQUIREMENTS DOCUMENT

Motor Housing Assembly – FY2027 Sourcing Program

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1. ANNUAL VOLUME REQUIREMENT

Estimated Annual Volume: 12,000 units

Quarterly: Q1=2,500 Q2=3,000 Q3=3,500 Q4=3,000

Safety Stock: 4 weeks supply at peak rate

Buffer Stock Policy: Dual-source minimum for volumes > 5,000 units/yr

2. COMMERCIAL REQUIREMENTS

Target Landed Cost: ≤ USD 130.00 per unit

Stretch Target: ≤ USD 115.00 per unit

Payment Terms: Net 45 days from invoice date

Currency: USD preferred; EUR accepted at spot + 0.5% hedge

Price Validity: 12-month fixed price | Annual review: October

3. DELIVERY REQUIREMENTS

Maximum Lead Time: 21 calendar days

Preferred Lead Time: ≤ 14 calendar days

Required On-Time Delivery: ≥ 95%

Delivery: DDP Buyer Warehouse, Detroit MI 48217

4. QUALITY REQUIREMENTS

Max Defect Rate (incoming): 2.0% AQL

ZERO-defect target for: sealing surfaces, bore dimensions

FAI: Mandatory for all new suppliers

CoC: Required with every shipment

5. MANDATORY CERTIFICATIONS

ISO 9001:2015 – MANDATORY for all suppliers

AS9100D – REQUIRED for aerospace-grade variant (SKU-AE only)

RoHS – REQUIRED for all variants shipped to EU distribution

6. SCORING WEIGHTS (per internal policy PR-SCORE-001)

Cost (landed): 30% | Quality: 20% | Delivery: 15%

Risk: 15% | Capability: 10% | Compliance: 10%

7. DISQUALIFICATION

Missing ISO 9001:2015 (including expired) => automatic disqualification

Defect rate > 10% on previous contracts => review board required

MOQ > 1,000 units for standard variants => escalation required

APPENDIX A – SUPPLIER QUALIFICATION AND APPROVAL PROCESS

A1. NEW SUPPLIER QUALIFICATION

- Step 1: Supplier Self-Assessment Questionnaire (SAQ) – returned within 10 days
- Step 2: Quality Management System documentation review
- Step 3: On-site audit (for orders > USD 50,000/year or safety-critical parts)
- Step 4: First Article Inspection (FAI) per AS9102 or equivalent
- Step 5: Production Part Approval Process (PPAP) Level 3 minimum
- Step 6: Approved Supplier List (ASL) entry – valid 3 years with annual review

A2. FIRST ARTICLE INSPECTION REQUIREMENTS

- Balloon drawing with all dimensions inspected and recorded
- Material test certificate with heat number traceability
- Surface finish measurement report (Ra on all critical surfaces)
- Functional test report where applicable
- Dimensional report: CMM or conventional measurement, all GD&T callouts

A3. ONGOING SUPPLIER PERFORMANCE METRICS

- On-Time Delivery (OTD): Target $\geq 95\%$ | Minimum acceptable: 90%
- Incoming Quality Rate (IQR): Target $\leq 2\%$ defect | Disqualify: $> 10\%$
- Corrective Action Response: ≤ 10 business days for 8D response
- Customer Satisfaction Score: Tracked quarterly via Supplier Scorecard
- Annual Business Review: Mandatory for all suppliers > USD 100K/year

A4. DISQUALIFICATION TRIGGERS

- Lapse of mandatory certification (ISO 9001:2015 or equivalent)
- Three consecutive OTD failures below 90%
- Single-lot defect rate exceeding 10% incoming AQL
- Failure to respond to Corrective Action Request within 30 days
- Fraudulent documentation, sub-tier substitution without approval
- Country risk rating below threshold per procurement policy PR-2026-04

A5. APPROVED TESTING LABORATORIES

- For RoHS/REACH: Bureau Veritas, Intertek, SGS, TUV SUD, Eurofins
- For dimensional: Any ISO/IEC 17025 accredited CMM facility
- For material: Mill certificate + independent 3rd party for critical alloys

A6. PACKAGING AND LABELING REQUIREMENTS

- Individual part protection: Bubble wrap or foam tray, no bare metal contact
- Inner carton: Max 20 units, moisture-desiccant included
- Outer carton: Double-wall corrugated, gross weight max 20 kg
- Label (minimum): Part number, revision, quantity, date code, supplier ID, PO#
- Country of origin marking: Per importing country requirements
- Special handling: Fragile, this side up, humidity-sensitive as applicable